

Employee stock purchase plans (ESPPs) offer employees the chance to buy stock, usually through payroll deductions during an “offering period” at a discounted price. The employee can then sell it right away and take the profit created by the discount, or hold on to it in expectation that its value will increase.

Employee Stock Ownership Plans

Employee stock ownership plans (ESOPs) are a type of benefit plan that is regulated by the federal government in which a trust is set up to acquire some or all of the stock of the company and sell the stock to employees. Because ESOPs receive tax advantages, they’re not allowed to discriminate in favor of key or highly compensated employees, so most employees get to participate. ESOPs are typically used as a type of retirement plan, or as an exit strategy for the boss in small companies. Be cautious about investing the bulk of your retirement funds in company stock no matter how well established the company is.

Incentive Stock Options

Incentive stock options (ISOs) allow employees to purchase shares of stock at some time in the future at a specified price. The employee pays tax on the gain upon sale or disposition of the stock, not upon receipt or exercise of the option. Nonqualified stock options don’t have the restrictions of other options and don’t receive any special tax consideration. When employees exercise nonqualified options, they pay ordinary income tax on the difference between the grant price and exercise price.